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March 31, 2025

To the Limited Partners of Matrix Partners VII, L.P., Matrix Partners VIII, L.P., Matrix Partners IX, L.P., Matrix Partners X, L.P., Matrix Partners XI, L.P., and Matrix Partners XII, L.P.:

Thank you to everyone who joined us in Boston for our annual meeting. It was a pleasure to see so many of our limited partners in person—we truly enjoyed the opportunity to catch up, share updates on the portfolio, and discuss the broader venture landscape.

In 2024, the U.S. economy showed steady but moderating growth, with real GDP expanding by 2.4% in Q4, decelerating from the 3.1% growth observed in Q3. The slowdown was driven by a sharp decline in business investment, though robust consumer spending and government expenditures helped offset that decline, increasing 4.0% and 3.1%, respectively. The labor market remained resilient throughout the year, and December's labor market performance exceeded expectations, with the economy adding 256,000 jobs - far surpassing the forecasted 153,000 and marking the largest monthly gain since March of 2024. The unemployment rate edged down from 4.2% to 4.1%. Inflation remained above the Fed's 2% target, closing the year with an annual increase of 2.9%. Core inflation (excluding food and energy) stood at 3.2%. In response to these inflationary pressures and amid uncertainties surrounding new tariff policies and escalating trade tensions, the Fed has held rates steady through the January and March meetings, following a quarter-point cut in December 2024. Although all three major indices recorded double-digit gains for the year - 29% for the NASDAQ, 23% for the S&P, 13% for the Dow, Q4 gains were moderate, and volatility increased in early 2025. Since the end of the year, all three indices have declined from their year-end levels as investors navigate uncertainties surrounding the new administration's policies and ongoing trade disputes.

As we mentioned at the annual meeting, venture activity continues to be constrained by a lack of exits, and a surge in outsized AI funding rounds is creating a misleading picture of growth in the sector. In Q4 2024, deal activity jumped 70% in terms of dollars raised to $74.6 billion, but the number of deals declined 15% with 2,859 rounds closed. For the full year, deal volume dropped to its lowest level since 2018, with 13,776 companies closing rounds, a 6% decline from 2023. Although annual deal value rose 29% to $209.0 billion, that figure included 15 mega-deals that raised in excess of a billion dollars each. Excluding those deals, total invested in venture-backed companies would fall to $155.5 billion. These figures suggest that while headline venture investment appears strong, much of the growth is concentrated in a handful of massive AI deals, masking broader stagnation in deal volume and a continued lack of liquidity.

Exit activity showed a modest uptick at the end of the year, but much like deal trends, the gains were concentrated in a small number of large deals. In Q4, exit value rose 33% to $37.0 billion, even as the number of exits dipped 3% to 266 from 273 exits in Q3. For the full year, exit value increased 24% to $149.2 billion from $120.0 billion in 2023, while the count of exits decreased 4%. The IPO market followed a similar pattern with deal value climbing 44% and count decreasing 25%, again skewed by the outsized IPOs we mentioned earlier this year. The recent announcement of Google's $32 billion acquisition of Wiz and anticipation around upcoming tech IPOs, alongside potential regulatory shifts at the Federal Trade Commission, has prompted optimism about a more favorable exit environment - though whether these developments will lead to improved exit conditions remains unclear. At the same time, the continued concentration of value in a few large deals and persistent declines in overall exit volume highlight ongoing liquidity challenges and leave many companies and investors waiting for more favorable conditions.

Fundraising mirrored these market challenges, as liquidity constraints weighed heavily on capital formation. In Q4, 128 venture funds raised $11.0 billion, reflecting a modest 2% increase in fund count and a sharp 60% decrease in dollars raised.. For the full year, 508 funds closed with a combined $76.1 billion raised, representing a 22% drop in capital and a 46% decline in fund count compared to 2023. This marks the lowest annual fundraising total in a decade and the smallest number of funds raised in five years. These figures reinforce the ongoing strain in the venture ecosystem, where limited exits and concentrated investment activity are restricting the flow of new capital into the market.

Finally, to reiterate the core message of the annual meeting, our investment strategy remains focused and consistent. We will continue to selectively pursue early-stage opportunities across our core sectors and in areas where we see the potential for differentiated value creation, while being discerning in our pursuit of AI-related deals. We are encouraged by the strength of several portfolio companies that are well-positioned for liquidity when the market conditions permit, as well as by our promising early companies that are demonstrating strong fundamentals and long-term potential. While we remain measured in our approach given ongoing market uncertainty, we are confident that our discipline and experience will position us well to capitalize on emerging opportunities and navigate the evolving investment landscape effectively.

Details on portfolio activity during the quarter can be found in the fund-specific letters that follow.

Sincerely,
Matrix Partners

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March 31, 2025

To the Limited Partners of Matrix Partners IX, L.P.:

Full Year 2024

- During 2024, the Partnership distributed $68.5 million of cash to the Limited Partners, bringing cumulative distributions to Limited Partners to $802.8 million, or 198% of contributed capital.

- Cumulative portfolio value (investment portfolio plus cumulative realized value) decreased $323.7 million during the year to a total of $2.8 billion (5.7x cost). The decrease is the result of $323.8 million of depreciation in the portfolio, offset by a $0.1 million incremental investment. The $323.8 million of depreciation in the portfolio is a result of $308.2 million of net markdowns in the private portfolio, a $14.4 million decrease in the public price of Markforged shares, a $1.1 million decrease from the sale of a portion of the shares held in one private portfolio company, and a $0.3 million decrease from the receipt of escrow proceeds from a prior period sale, offset by a $0.1 million increase from the sale of a previously written off private portfolio company.

- During 2024, cumulative value to Limited Partners (equity plus distributions) decreased $227.8 million to a total of $1.9 billion (4.6x contributed capital). The decrease is the result of the portfolio depreciation discussed above, augmented by operating activity.

- From the first capital call in October 2010, the Partnership has invested $487.4 million (108% of committed capital). As of December 31, 2024, the Partnership held securities in one public company, Markforged, with a fair value of $8.9 million and a cost of $11.7 million and 12 private companies (including one seed) with a fair value of $1.5 billion and a cost of $165.6 million.

There was no capital called during 2024. Cumulative capital contributions remained at $409.5 million (91% of committed capital). The Partnership held cash of $16.0 million on December 31, 2024, and the net loss for the year was $3.4 million.

Fourth Quarter 2024

- Cumulative portfolio value (investment portfolio plus cumulative realized value) increased $40.1 million during the quarter, to a total of $2.8 billion (5.7x cost). The increase is the result of $40.0 million of appreciation in the portfolio and a $0.1 million incremental investment. The $40.0 of appreciation is a result of $44.5 million of net markups in the private portfolio, and a $0.1 million increase from the sale of a previously written off private portfolio company, offset by a $4.6 million decrease in the public price of Markforged.

- Cumulative value to Limited Partners (equity plus distributions) increased $26.7 million to a total of $1.9 billion (4.6x contributed capital). The increase is the result of the portfolio appreciation discussed above, offset by operating activity.

The Partnership invested $0.1 million in one secondary financing during the quarter. The investment amounts in the financing description on the next page include both Matrix Partners IX, L.P. and Weston & Co. IX LLC (the GP Parallel Fund).

Follow-on Investment:

- In October 2024, Matrix purchased $0.1 million of Series C shares of **Klip** (which were converted into Machinify per the terms of the acquisition of Klip by Machinify in March 2016). Per the discussion below, Machinify entered into a definitive agreement to be acquired by New Mountain Capital. Matrix has marked our investment in Klip to the expected proceeds, resulting in an increase in portfolio value of $4.2 million.

During the quarter, two portfolio companies were marked up, one portfolio company was marked down, and proceeds were received from the sale of a previously written off portfolio company. In December 2024, **Zest AI**, entered into an agreement to be acquired by Insight Partners. The transaction closed in February 2025. This investment was marked up to our estimated proceeds of $10.1 million, or $3.52 per share, resulting in an increase in portfolio value of $4.0 million. In January 2025, **Machinify** entered into a definitive agreement to be acquired by New Mountain Capital for cash and rollover stock. The transaction closed in February 2025. Matrix marked our investment up to our estimated proceeds of $40.1 million, or $10.95 per share, resulting in an increase in portfolio value of $37.2 million. **Savage X**, previously carried at cost, was marked down to 50% of cost, or $0.26 per share, resulting in a decrease in portfolio value of $0.9 million. The company continues to struggle and our value represents our best estimate of expected proceeds in the event of a sale. Proceeds of $0.1 million were received from the sale of a previously written off portfolio company, resulting in an increase in portfolio value and a realized gain of the same amount.

The net loss for the quarter was $1.0 million.

Please be aware that both this letter and the enclosed materials are subject to the confidentiality provision of the Partnership Agreement. If for any reason you believe you may be unable to maintain the confidentiality of these documents, please review them and then return them to us, without retaining copies in your files.

If you have any questions about any aspect of the Partnership, please feel free to contact us.

Sincerely,
MATRIX IX MANAGEMENT CO., L.L.C.

Audited Financial Statements

Matrix Partners IX, L.P.

Year ended December 31, 2024

Matrix Partners IX, L.P.

Audited Financial Statements

Year ended December 31, 2024

Contents

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Report of Independent Auditors

To the General Partner of
Matrix Partners IX, L.P.

Opinion

We have audited the financial statements of Matrix Partners IX, L.P. (the "Partnership"), which comprise the statement of assets, liabilities and partners' capital, including the schedule of investments, as of December 31, 2024, and the related statements of operations, changes in partners' capital and cash flows for the year then ended, and the related notes (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Partnership at December 31, 2024, and the results of its operations, changes in its partners' capital and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Partnership and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free of material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve

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collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we

- Exercise professional judgment and maintain professional skepticism throughout the audit.

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Partnership's internal control. Accordingly, no such opinion is expressed.

- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.

- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Ernst & Young LLP

March 13, 2025

Matrix Partners IX, L.P.

Statement of assets, liabilities and partners' capital

December 31, 2024

Assets	
Portfolio investments, at fair value (cost of $177,347,689)	$ 1,461,313,248
Cash and cash equivalents	16,045,926
Receivable for securities sold	307,044
Other current assets	26,930
Total assets	$ 1,477,693,148
Liabilities	
Accounts payable and accrued expenses	$ 55,875
Total liabilities	55,875
Partners' Capital	
Contributed capital	$ 406,620,000
Distributions to partners	(1,078,982,323)
Cumulative investment performance:	
Net investment loss	(117,797,326)
Net realized gain from investments	983,831,363
Net unrealized appreciation on investments	1,283,965,559
Increase in net assets resulting from operations	2,149,999,596
Total partners' capital	1,477,637,273
Total liabilities and partners' capital	$ 1,477,693,148

The accompanying notes form an integral part of these financial statements.

Matrix Partners IX, L.P.
Schedule of Investments
December 31, 2024

	Country of Incorporation	Shares Held (CSE)	Cost		Fair Value		Percentage of Partners' Capital
			Per Share	Total	Per Share	Total	
Publicly traded							
Frontier Technologies/Other							
Markforged Holding Corporation Common stock	United States	2,849,592	$ 4.11	$ 11,714,109	$ 3.14	$ 8,947,719	0.6%
Subtotal - Frontier Technologies/Other				11,714,109		8,947,719	0.6%
Subtotal - Publicly traded				11,714,109		8,947,719	0.6%
Privately held							
Cleantech							
Sila Nanotechnologies, Inc.	United States	7,411,196	3.00	22,209,962	16.42	121,668,419	8.2%
Subtotal - Cleantech				22,209,962		121,668,419	8.2%
Consumer							
Fabletics, Inc.	United States	3,368,622	6.33	21,309,867	17.74	59,772,810	4.0%
Klip, Inc.	United States	9,709,874	0.01	95,240	0.44	4,254,542	0.3%
Machinify, Inc.	United States	3,663,791	0.53	1,925,628	10.95	40,121,688	2.7%
Savage X Holding, LLC Common stock	United States	3,368,622	0.51	1,717,997	0.25	858,998	0.1%
Subtotal - Consumer				25,048,732		105,008,038	7.1%
FinTech							
ZestFinance, Inc. (dba Zest AI)	United States	2,883,769	2.14	6,176,458	3.52	10,140,392	0.7%
Subtotal - FinTech				6,176,458		10,140,392	0.7%
Software applications							
Canva, Inc.	United States	433,245	7.02	3,042,641	1,066.66	462,125,588	
Common stock	United States	409,895	1.82	745,493	1,066.66	437,219,052	
				3,788,134		899,344,640	61.0%
Salsify, Inc.	United States	8,585,268	3.73	32,056,224	15.57	133,690,407	
Common stock	United States	57,416	14.56	835,977	14.56	835,977	
				32,892,201		134,526,384	9.1%
Trax Ltd. Common stock	Cayman Islands	260,712	36.76	9,584,533	52.14	13,592,481	0.9%
Subtotal - Software applications				46,264,868		1,047,463,505	70.9%
Software infrastructure							
Apollo Graph, Inc. (dba Apollo)	United States	50,132,502	0.89	44,381,925	2.92	146,358,893	9.9%
CloudBees, Inc.	United States	11,440,863	1.84	21,018,174	1.84	21,018,174	1.4%
Subtotal - Software infrastructure				65,400,099		167,377,067	11.3%
Pending Escrow				-		174,647	0.0%
Seed Investments				533,461		533,461	0.0%
Subtotal - Privately held				165,633,580		1,452,365,529	98.3%
Total Portfolio Investments				$ 177,347,689		$ 1,461,313,248	98.9%

The accompanying notes form an integral part of these financial statements.

Matrix Partners IX, L.P.

Statement of operations

Year Ended December 31, 2024

Investment income:		
Income from cash and cash equivalents	$	1,214,956
Expenses:		
Management fee		4,500,000
Professional fees		120,751
Other expenses		37,509
Total expenses		4,658,260
Net investment loss		(3,443,304)
Realized and unrealized gain (loss) from investments:		
Net realized gain from investments		100,083,145
Net change in unrealized appreciation on investments		(423,927,107)
Net loss from investments		(323,843,962)
Net decrease in net assets resulting from operations	**$**	**(327,287,266)**

The accompanying notes form an integral part of these financial statements.

Matrix Partners IX, L.P.

Statement of changes in partners' capital

Year Ended December 31, 2024

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2023	$ 553,717,215	$ 1,350,096,547	$ 1,903,813,762
Cash distributions	(30,335,162)	(68,511,315)	(98,846,477)
Net investment loss	(34,433)	(3,408,871)	(3,443,304)
Net realized gain from investments	30,725,525	69,357,620	100,083,145
Net change in unrealized appreciation on investments	(130,145,622)	(293,781,485)	(423,927,107)
Withholdings for foreign partners	-	(42,746)	(42,746)
Partners' capital at December 31, 2024	**$ 423,927,523**	**$ 1,053,709,750**	**$ 1,477,637,273**

The accompanying notes form an integral part of these financial statements.

Matrix Partners IX, L.P.

Statement of cash flows

Year Ended December 31, 2024

Cash flows from operating activities:	
Net decrease in net assets from operations	$ (327,287,266)
Adjustments to reconcile net decrease in net assets from operations to net cash provided by operating activities:	
Purchases of portfolio investments	(95,240)
Proceeds from portfolio investments	100,147,756
Increase in other current assets	(16,212)
Increase in accounts payable and accrued expenses	781
Net change in unrealized appreciation on investments	423,927,107
Net realized gain from investments	(100,083,145)
Net cash provided by operating activities	96,593,781
Cash flows from financing activities:	
Cash distributions to partners	(98,846,477)
Withholdings for foreign partners	(42,746)
Net cash used in financing activities	(98,889,223)
Net decrease in cash and cash equivalents	(2,295,442)
Cash and cash equivalents, beginning of period	18,341,368
Cash and cash equivalents, end of period	**$ 16,045,926**

The accompanying notes form an integral part of these financial statements.

Matrix Partners IX, L.P.

Notes to Financial Statements

December 31, 2024

1. Description of Business

Matrix Partners IX, L.P. (the Partnership or the Fund) is a Delaware limited partnership which was formed on July 14, 2009. The partnership agreement provides that the Partnership will terminate on October 15, 2020. The General Partner may extend the Partnership for up to three consecutive one-year periods with written notice to the Limited Partners. Thereafter, the Partnership could be extended further with the written consent of a majority in interest of the Limited Partners, as per the partnership agreement. On July 1, 2020, the General Partner notified the Limited Partners of the election to extend the term of the Partnership by two additional one-year periods through October 15, 2022. On August 31, 2022, the General Partner notified the Limited Partners of the election to extend the term of the Partnership by one additional one-year period through October 15, 2023. On August 10, 2023, the General Partner, with written consent of the General Partner and a Majority in Interest of the Limited Partners, amended the Partnership Agreement to permit the General Partner to extend the Partnership Term by an additional three consecutive one-year periods through October 15, 2026, and to provide written notice to the Limited Partners of its extension of the Partnership Term to October 15, 2025.

The Partnership's investment objective is to maximize returns on partners' capital contributions through investments in securities, generally with equity features, of publicly or privately owned corporations.

The Partnership includes one General Partner, Matrix IX Management Co., L.L.C., and 47 Limited Partners. The General Partner has the sole and exclusive right to manage, control, and conduct the affairs of the Partnership, and to do any and all acts on behalf of the Partnership that are necessary, advisable, or convenient to the discharge of its duties under the Partnership Agreement and the management of the affairs of the Partnership.

The General Partner and Limited Partners, whose capital commitments are $4,500,000 and $445,500,000 respectively, had contributed capital including deemed contributions (as noted below in Note 4) of $4,095,000 (91%) and $405,405,000 (91%) at December 31, 2024.

Capitalized terms used but not defined herein shall have the respective meanings given to them in the partnership agreement.

2. Significant Accounting Policies

Basis of Presentation and Use of Estimates

The preparation of financial statements in conformity with U.S. generally accepted accounting principles (GAAP) requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Management has determined that the Partnership qualifies as an investment company as defined in Accounting Standards Codification (ASC) Topic 946, *Financial Services – Investment Companies* and, accordingly, the Partnership applies this specialized reporting guidance for the purposes of financial reporting.

2. Significant Accounting Policies (continued)

Valuation of Investments

The Partnership's investments are carried at fair value in accordance with ASC Topic 820, *Fair Value Measurement* (ASC 820), and are classified within the fair value hierarchy based on the lowest level of input that is significant to the fair value measurement. The three levels of the fair value hierarchy under ASC 820, and its applicability to the Partnership's investments, are described below:

Level 1 – Unadjusted quoted prices in active markets that are accessible at the measurement date of identical, unrestricted assets. Equity securities are valued at the most recent sale price or official closing price reported on the exchange (U.S. or foreign) on which they trade.

Level 2 – Quoted prices for similar assets, or inputs that are observable, either directly or indirectly, for substantially the full term through corroboration with observable market data.

Level 3 – Pricing inputs are unobservable for the asset, that is, inputs reflect the reporting entity's own assumptions about the assumptions market participants would use in pricing the asset. Level 3 includes private investments that are supported by little or no market activity. Factors used in determining value may include, but are not limited to, the type of the security, the size of the holding, the initial cost of the security, the existence of any contractual restrictions on the security's disposition, the price and extent of public trading in similar securities of comparable companies, information obtained from the issuer, an analysis of the company's or issuer's financial statements and with respect to debt securities, the maturity, coupon rate and creditworthiness. The value determined under these procedures may differ from published values for the same securities. The fair values of Level 3 investments are determined by reference to projected net earnings, earnings before interest, taxes, depreciation, and amortization ("EBITDA"), the public market or private transactions, valuations for comparable companies and other measures which, in many cases, are unaudited at the time received. Valuations may be derived by reference to observable valuation measures for comparable companies or transactions (e.g., multiplying a key performance metric of the investee company such as EBITDA by a relevant valuation multiple observed in the range of comparable companies or transactions), adjusted by management for differences between the investment and the referenced comparable companies. Level 3 investments may also be valued at cost for a period of time after an acquisition as the best indication of fair value.

Cost of Investments

Cost of investments represents the actual purchase price of the securities acquired.

2. Significant Accounting Policies (continued)

Net Realized and Unrealized Gain (Loss) from Investments

When investments are sold, distributed, or written off, the gain or loss is classified as realized. The gain or loss is determined by deducting the cost of investments from the sales proceeds or, for investments distributed, their fair value at the distribution date. When the difference between the cost and fair value of portfolio investments increases or decreases, the appreciation or depreciation is classified as unrealized. When investments are sold, distributed, or written off, the unrealized appreciation or depreciation is reversed upon the recognition of the realized gain or loss.

Income Taxes

The Partnership is not a taxable entity, and the results of its operations are included in the tax returns of the partners. Accordingly, no income tax provision is reflected in the accompanying financial statements. The Partnership reports on the accrual method for both financial reporting and income tax purposes.

GAAP requires management to evaluate uncertain tax positions taken by the Partnership. The financial statement effects of a tax position are recognized when tax positions taken, or expected to be taken, in the course of preparing the Partnership’s tax returns are “more likely than not” of being sustained by the applicable tax authority. Tax positions not deemed to meet a more-likely-than-not threshold would be recorded as a tax expense in the current period. The General Partner has concluded there are no significant uncertain tax positions that would require recognition in the financial statements. The Partnership is subject to routine audits by taxing jurisdictions; however, there are currently no audits for any tax periods in progress. Management believes it is no longer subject to income tax examinations for years prior to 2021.

Distribution to Partners

The partnership agreement provides for a distribution of all Net Operating Income, as defined, to the partners within 90 days after the end of the calendar year. A distribution may also be made during or within 90 days after the end of the calendar year equal to the aggregate amount of taxable income (excluding the GP Special Profit Allocation, as defined, to the affected partners) multiplied by the highest combined federal and Massachusetts tax rate applicable to individuals. The maximum combined tax rate shall be determined separately for each category of income for which different marginal tax rates apply (e.g., long-term capital gain and ordinary income), assuming that for purposes of computing federal tax, the Massachusetts tax could only be deducted against such income. Discretionary Distributions which may be made during the calendar year shall reduce the above distributions.

During the year ended December 31, 2024, the Partnership made one distribution of cash to the partners in the amount of $98,846,477.

2. Significant Accounting Policies (continued)

Allocations of Profits and Losses

In accordance with the partnership agreement, for each Fiscal Year or Interim Period, as defined, when the aggregate cumulative Capital Transaction Gain exceeds the aggregate cumulative Capital Transaction Loss, as each are defined, such gain is allocated to the General Partner until such time as the amount of management fee reduction (as disclosed in Note 4) is met. Thereafter, the General Partner is allocated 30% of Capital Transaction Gain and Loss. The remaining 70% is allocated to all partners as a group. In all other circumstances, the Capital Transaction Gain and Loss shall be allocated to all partners in accordance with Partnership percentages. In addition, unrealized gains and losses are similarly allocated to the General Partner and partners.

The Net Income or Loss, as defined, has been allocated to the partners in accordance with the partnership agreement.

Cash

The Partnership considers money market funds and highly liquid investments with original maturities of three months or less to be cash equivalents. At December 31, 2024, approximately $15,795,926 of the balance in cash and cash equivalents was held in short-term accounts at two financial institutions. The remainder of the Partnership's cash balance was held in an account at one financial institution covered by the FDIC insured limit. None of the cash or cash equivalents balances were subject to withdrawal restrictions. There were no foreign currency balances.

Risks and Uncertainties

At December 31, 2024, the Partnership's portfolio investments are comprised of one publicly traded and 12 illiquid, non-publicly traded securities in the Frontier Technologies, Cleantech, Consumer, FinTech, Software applications, Software infrastructure, and related industries. Risks affecting these industries include, but are not limited to, increasing competition, rapid changes in technology, and changes in economic conditions. These risk factors could have a negative effect on the ultimate realizable value of the Partnership's investments.

It is the Partnership's primary investment objective to generate current income and capital appreciation by lending to or investing directly in privately held companies. During the year ended December 31, 2024, the Partnership invested in portfolio companies to support their growth objectives. None of this support was contractually obligated. Refer to Note 3 – Fair Value Measurements for additional disclosures about investing activities. In addition to providing funding to investee companies, from time to time the Partnership assists investee companies in securing financing from other sources by introducing such investee companies to sponsors or by leading a syndicate of lenders to provide the investee companies with financing.

Fair Value of Financial Instruments

The carrying amounts reported in the balance sheet for cash and cash equivalents, receivable for securities sold, other current assets and accounts payable and accrued expenses approximate fair value.

3. Fair Value Measurements

The following table summarizes the fair value measurement of investments owned at December 31, 2024, by the fair value hierarchy levels described in Note 2 above.

	Level 1	Level 2	Level 3	Total
Preferred equity	$ -	$ -	999,150,913	$ 999,150,913
Common equity	8,947,719	-	452,506,508	461,454,227
Seed investments	-	-	533,461	533,461
Pending escrow	-	-	174,647	174,647
	$ 8,947,719	$ -	$ 1,452,365,529	$ 1,461,313,248

For the year ended December 31, 2024, purchases of level 3 investments were $95,240.

The table below sets forth a summary of the valuation approaches and quantitative information utilized in determining the fair value of the Partnership's Level 3 investments as of December 31, 2024. The disclosure below excludes financial instruments for which fair value is based on prices from recent transactions without adjustment and amounted to $1,035,139,001.

Financial Assets	Fair value at December 31, 2024	Valuation Approach(es)	Significant Unobservable Inputs (1)	Range
Preferred equity	**$ 339,822,110**	Probability weighted expected return method	Time to liquidity	1 - 4 years
			Discount rate	30%
			Revenue growth rate	5% - 51%
			Revenue multiple	4.0x - 9.0x
Common equity	**$ 835,977**	Probability weighted expected return method	Time to liquidity	1 - 4 years
			Discount rate	30%
			Revenue growth rate	8% - 10%
			Revenue multiple	9.0x
Preferred equity	**$ 75,534,796**	Estimated Proceeds	Reserve Discount	10%
Common equity	**$ 858,998**	Estimated Proceeds	Reserve Discount	50%
Pending escrow	**$ 174,647**	Estimated Proceeds	Reserve Discount	10%

(1) In determining certain of these inputs, management evaluates a variety of factors including economic conditions, industry and market developments, market valuations of comparable companies and company specific developments including exit strategies and realization opportunities. Management has determined that market participants would take these inputs into account when valuing the investments.

4. Related Party

The General Partner provides the Partnership with investment counsel, and certain administrative and support services, under the terms of the partnership agreement. The Partnership compensates the General Partner for such services in the form of a management fee, payable quarterly in advance in amounts specified by the partnership agreement. In connection with the extension of the term of the partnership discussed in Note 1, the Partnership Agreement was amended to provide that, after the thirteenth anniversary of the Initial Contribution Date, the management fee is to be determined quarterly, based upon the lesser of 0.25% of committed capital or 0.25% of Net Asset Value. Net Asset Value shall be calculated by excluding the following assets: cash, money market investments and Marketable Securities that are not subject to an underwriter lock-up or similar trading restriction. Any Marketable Securities that are thinly traded, as determined by the General Partner, shall be treated as Nonmarketable Securities. For the year ended December 31, 2024, the management fee charged to the Partnership was $4,500,000.

5. Commitments and Contingencies

In the normal course of business, the Partnership may enter into contracts that contain a variety of representations and warranties and which provide for general indemnifications. The Partnership's maximum exposure under these arrangements is unknown, as this could involve future claims that may be made against the Partnership that have not yet occurred. Based on the prior experience of the General Partner, the Partnership expects the risk of loss under these indemnifications to be remote.

6. Required Financial Highlights

The following financial highlights have been computed in accordance with the AICPA *Audit and Accounting Guide – Investment Companies* for the year ended December 31, 2024. These calculations are not an indication of future performance of the Fund. For comparative purposes, statistics based on capital commitments have also been provided.

Internal rate of return since inception	
Beginning of year	23.1%
End of year	21.0%
Ratios to average limited partners' capital	
Expenses, before carried interest to General Partner	0.40%
Carried interest to General Partner	-8.40%
Expenses, including carried interest to General Partner	-8.00%
Net investment loss	-0.30%

The cumulative value to Limited Partners (partners' capital plus distributions) as a percentage of capital contributions to date for the life of the Partnership through December 31, 2024, is 457.9%.

6. Required Financial Highlights (continued)

The internal rate of return (IRR) since the commencement of operations is net of all fees and carried interest allocations to the General Partner and is computed based on the dates of the Limited Partners' capital contributions to the Partnership, distributions from the Partnership to the Limited Partners, and the ending net assets at the end of the period (residual value) of the Limited Partners' capital. Financial highlights are calculated for the limited partner class taken as a whole. An individual limited partner's return may vary.

The net investment loss ratio is the Limited Partners' investment income reduced by total expenses divided by the Limited Partners' average capital balance for the year presented. The net investment loss ratio does not reflect the effects of the carry allocation to the General Partner.

The expense ratios are calculated using total expenses allocated to the Limited Partners before and after the effect of the General Partner carried interest and recovery of management fee reductions, respectively, divided by the Limited Partners' average capital balance for the year presented. Total expenses primarily include management fees and other partnership expenses. During 2024, $97,153,189 of accrued carried interest was reversed from the General Partner.

7. Subsequent Events

Management evaluated subsequent events for the Partnership through March 13, 2025, the date the financial statements were available to be issued. There are no subsequent events that require recognition or disclosure in these financial statements, except as discussed below.

On January 10, 2025, New Mountain Capital announced their plan to acquire Machinify, Inc. for cash and stock. The terms of the deal are confidential. The deal closed on February 14, 2025. The Partnership's share of the transaction was $40.2 million, $16.8 million of cash and $22.9 million of shares in the NewCo were received in February, with the remainder subject to escrow.

On January 31, 2025, Zest Finance, Inc. was acquired by Insight Partners for $200.0 million cash. The Partnership's share of the transaction was $10.2 million, with $10.0 million received in February and the remainder subject to escrow.